The key objective of EE is to identify those particular tools or policy alternatives that will move the market towards the most efficient allocation of natural resources.

10.2 Meaning of Environment

The term environment has been derived from a French word "Environia" means to surround. Environment means "all the conditions, circumstances, and influences surrounding and affecting the development of an organism or group of organisms". It also means that the complex of physical, chemical and biotic factors that act upon an organism or an ecological community ultimately determine its form and survival.

Meaning of Environmental Economics

It is a different branch of economics that recognizes the value of both the environment and economic activity and makes choices based on those values. The goal is to balance the economic activity and the environmental impacts by taking into account all the costs and benefits. In short, Environmental Economics is an area of economics that studies the financial impact of environmental issues and policies.

Environmental Economics involves theoretical and empirical studies of the economic effects of national or local environmental policies around the world.

10.3 Eco System

An ecosystem includes all living things (plants, animals and organisms) in a given area, interacting with each other, and also with their non-living environments (weather, earth, sun, soil, climate, atmosphere). Ecosystems are the foundations of the Biosphere and they determine the health of the entire earth system.



10.4 Linkage between Economy and Environment

Man's life is interconnected with various other living and non-living things. The life also depends on social, political, ethical, philosophical and other aspects of economic system. In fact, the life of human beings is shaped by his living environment. The relationship between the economy and

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